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Chapter 11

Payment Analysis



Introduction to Payment Analysis in GL

Payment analysis provides you with a way of analysing the payments you make to your suppliers. Its main use is for reporting requirements to the USA Government (1099), but it can be used for your own analysis purposes.

1099

It is a legal requirement in the USA for businesses to maintain details of non-payroll payments made to suppliers who are not registered corporations. These payments are typically to self-employed contractors, employees and small family businesses, and are made through Accounts Payable.

The reason for this is that these payments may be liable for Federal taxation, and businesses are required to maintain details so as to enable reporting, by supplier, to the IRS (Internal Revenue Service). Reporting is annual, and covers the US fiscal year of January to December.

When reporting to the IRS, businesses can use pre-printed forms, magnetic media or telecommunications. The format is specified by the IRS, and the procedure is named after the pre-printed stationery - 1099.

Businesses are also required to provide their 1099 suppliers with a copy of the details passed to the IRS.

Although there are 14 different documents which can be used for the reporting, most payments can be included in the 1099-MISC document.

Data Setup

In order to produce payment analysis data, you must first set up a tax group for your companies, then set up analysis codes. You must then open the year to which analysis transactions are to be posted.

Once the codes have been set up, you can begin to enter payment analysis codes against your postings in Accounts Payable. These codes will cause the transactions to appear in the Payment Analysis enquiry and report facilities, once the items have been paid.

When the year's data has been entered, those users who want to produce a 1099 return will close the year to prevent further transactions being posted, and use the 1099-specific options to produce the 1099 return on paper or magnetic tape.

The following steps are a guide to setting up payment analysis/1099:

- 1 - Select the GL utilities option Country-Specific Parameters from the menu, and switch on 1099 Codes Active.
- 2 - Set up the tax group, via the payment analysis option Tax Group.
- 3 - Select the GL company profile (**/ASCO**), and enter the tax group in the US Tax Group field on the third details screen.
- 4 - Set up the analysis group codes - the codes to be assigned when a payment is made. In the case of 1099 these are predefined to the system, and will already exist, but if you are using the facility for your own analysis purposes you can set up codes of your own.
- 5 - Select Company Year End Control to set up the calendar. This is the calendar year that is just commencing and to which new 1099 transactions are to be posted. After completion of 1099 year end reporting, you use this option to close the year.
- 6 - Each supplier whose payments you wish to analyse must be defined as a payment analysis or a 1099 supplier, using the AP maintenance option Names and Addresses.
- 7 - When you make a posting for a selected supplier, a window will appear, enabling you to assign an analysis code to any portion of the posted value. Different codes can be assigned to different portions of the value.
- 8 - The transactions, with their assigned codes, are available for enquiry and reporting purposes after they have been paid.

Analysis Group Codes



1/GLN

Payment analysis is dependent on the codes defined here. If you are not using the 1099 facility, you can define these codes to suit your own analysis requirements.

If you are using 1099, these codes are predefined according to government requirements.



Select the Analysis Group Codes menu option.
On the selection screen enter the 1099 analysis group code you wish to maintain or define.

Enter the code you wish to add or maintain, press **Enter** to display the next screen, showing the following two fields:

Fields:

Description

Enter the analysis group code description.

Purchase For Resale

This field is for future development.



Press **Enter** to update and return to the code selection screen.

Transactions

1... **2/GLN**

This option enables you to:

- Maintain existing analysis transactions. You can select any transaction and change its analysis group or supplier reference.
- Add a new analysis transaction. You can select an existing Accounts Payable transaction and apply a payment analysis code to all or part of its value.



Select the payment analysis maintenance option Transactions from the menu.

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GL342          Z1 - GB Demonstration Company    USER    GBJBANB1    8/12/95
                                           11:57:43
Payment Analysis Transactions Maintenance

Supplier . . . . .? _____

Optional selection parameters :

For Maintain :
  Payment date . . . .  0/00/00

For Add      :
  Item type . . . . .:  __  Item types IN, CR or JL
  Item reference . . ?  _____

Payable company . . . . . AC

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F3=Exit  F4=Prompt  F6=Maintain  F10=Add Manual
05-29    SF        MW          KS          IM          II  KENB20A  PET149S1
  
```

Fields:

Supplier

Enter the supplier whose transaction is to be added or maintained.

Entry of this field is mandatory, and the supplier must be defined to the system as a 1099 or payment analysis supplier.

Payment Date

The system will display for maintenance any transactions with a payment date on or after the date entered here.

To display all available transactions, enter zeros in this field.

Item Type

If you want to add an analysis transaction, enter the item type of the transaction providing the value to be analysed.

Item Reference

If you want to add an analysis transaction, enter the item reference of the transaction providing the value to be analysed.

Payable Company

If you want to restrict the search for the item(s) to be added or maintained to a particular Accounts Payable company, enter that company here.

Maintain (F6)



Press **F6=Maintain** to display a list of all the payments meeting the selection criteria you entered on the Payment Analysis Maintenance screen.

Select the payment you wish to maintain by entering 1 against it, and the following fields are displayed:

Fields:

1099 Analysis Group

Enter the analysis group code as required.

Supplier Reference

Enter a supplier reference as required.

Purchase For Resale

This field is reserved for future development.



Press **F8=Update** to update the analysis.

Add (F10)



Press **F10=Add Manual** to add an analysis record.

Fields:

Currency

Enter the transaction currency.

This field is maintainable only if adding a new analysis transaction.

Paid Amount Base

Enter the value in base to be assigned to the payment analysis group entered.

This field is maintainable only when adding a new analysis transaction.

Paid Amount Prime

Enter the value in prime to be assigned to the payment analysis group entered.

This field is maintainable only when adding a new analysis transaction.

1099 Analysis Group

Enter the analysis group code as required.

Transaction Date

Enter the transaction date as required.

This field is maintainable only if adding an analysis transaction.

Payment Date

Enter the payment date as required. This must be a date in a year which is open for 1099 transactions.

This field is maintainable only if adding an analysis transaction.

Supplier Reference

Enter a supplier reference as required.

Payment Reference

Enter the payment reference as required.

This field is maintainable only if adding an analysis transaction.

Item Type

Enter the type of the item to be added.

This field is maintainable only if adding an analysis transaction.

Item Reference

Enter the reference of the item to be added.

This field is maintainable only if adding an analysis transaction.

Purchase For Resale

This field is for future development.



Press **F8=Update** to create the new analysis record. The fields will be blanked out, ready for adding another analysis for this supplier.

Company Year End Control

1...
2...

3/GLN

The government 1099 return is year specific. It is therefore necessary to ensure that, once a return has been produced, no more transactions are entered for that year.

This facility enables you to define a year as open, in order to accept new analysis postings, or closed.



Select the payment analysis option Company Year End Control. On the selection screen enter the year to define as open or closed.



Press **Enter** to display the next field.

Status

0 - To close the year.

1 - To open the year for transaction postings.



Press **Enter** to update.

Tax Group

1...
2...

4/GLN

The government requires one 1099 return for each legal entity. If several companies make up the entity, they must be consolidated into one tax group.

Setting up the tax group is the first step in setting up 1099 or payment analysis. The tax group code is defined here. To assign a company to this group, enter the code in the Payment Analysis Tax Group field in the General Ledger Company profile.



Select the payment analysis Tax Group option.
On the selection screen enter a new or defined tax group code. These codes are user-defined.



Press **Enter** to display the US Tax Group Maintenance screen, which enables you to specify the companies which are to belong to the group:

US Tax Group Maintenance Screen

This screen enables you to specify the companies which are to belong to your tax group.



To display this screen press **Enter** at the US Tax Group Maintenance selection screen.

GL350	USER GBJBANB1	8/12/95 9:58:42
United States Tax Group Maintenance		
Tax Group Code Z2 AMENDMENT		
Tax Group Name US Tax Collection		
Address Line 1 1856 Sheridan Road		
Address Line 2		
Address Line 3		
City Denver		Zip Code . 80524
State Code ? CO Colorado		
Government Location . . FTCOLLINS		Government Identifier . 02-45679218
Payer Name Control . . . USCO		Transmitter Control . . TX099
Consolidation(Inclusion of a GL Company implies 1099 in use for that company)		
GL		Tax
Sel Co Company		Grp Description
- Q5 QA - Italian Base Testing Comp		Z2 US Tax Collection
- Z2 Z2 US Sample Test Company		Z2 US Tax Collection
+		
F3=Exit F4=Prompt F8=Update F12=Previous 06-26 SF MW KS IM II KENB20A PET149S1		

Fields:

Tax Group Name

Enter the name of the group.

Address Lines 1 - 3

Enter the address of the group.

City

Enter the city name.

Zip Code

Enter the zip code.

State Code

Enter the two-character state code.

Government Location

Enter the government-assigned location.

Government Identifier

Enter the government-assigned identifier.

Payer Name Control

Enter the IRS-assigned control.

Transmitter Control

Enter the IRS-assigned control.

Sel

To define a company as part of this tax group, enter 1 against it and press **F8**.



You can also define a company as part of the tax group by entering the tax group code in the Payment Analysis Tax Group field on the General Ledger company profile.

Analysis Transactions Enquiry



10/GLN

This option enables you to enter search criteria which will produce a list of analysis records. You can then select the record whose details you want to display.



Select the payment analysis enquiries option
Transactions from the menu.

Fields:

Supplier

Enter the 1099 or payment analysis supplier to be enquired on.

Reporting ID

Enter the reporting identification number (TIN or SSN number) of the supplier you want to enquire on.

Start Payment Date

The system will display for enquiry any transactions with a payment date on or after the date entered here.

To display all available transactions, enter zeros in this field.

Payables Company

If you want to restrict the search for the item(s) to be enquired on to a particular Accounts Payable company, enter that company here.



Press **Enter** to display a list of analysis records
which meet the selection criteria entered.



Enter 1 against the payment analysis you want to
enquire on.

Analysis Report



31/GLN

This option produces a report of analysis records sequenced by analysis group code within reporting identification number (TIN or SSN).



Select the payment analysis option Analysis Report from the menu.

Fields:

Tax Group Code

If you want the report to print analysis values for the whole tax group, enter that group here.

Current G/L Company

If you want the report to print analysis values for the current General Ledger company only, enter that company here.

Payment Date Range

Enter the range of payment dates to be included in the report.

Print Detail

0 - To print summaries only.

1 - To print transactions.



Press **Enter** to submit a job to produce the report. If your selection criteria make it likely that the report will be a long one, a warning will be displayed. Press **Enter** to confirm the request.

1099 MISC Register and Forms



32/GLN

This option creates the format for the 1099 MISC forms to be sent to the government and to the supplier.



Select the payment analysis option 1099 MISC Register & Forms from the menu.

Fields:

Taxing Year

Enter the calendar year for which the 1099 return is to be produced.

1099 Tax Group

Enter the tax group for which the 1099 return is to be produced.

Print 1099-Misc Forms

1 - If you want the submitted job to produce forms - that is, a hard copy of the return.

Royalties Limit

The government requires royalties to be included in the report only if the consolidated total exceeds a certain value. As this value can be changed by the government at any time, the field must be maintained by the user.

Misc Rptg Limit

Enter the minimum IRS reporting limit here.

Produce 1099 Tape

Enter 1 if you want the submitted job to send the 1099 information to magnetic tape.



Press **Enter** to update.

Transaction Exceptions



33/GLN

This report lists all transactions for 1099 or payment analysis suppliers which have had no analysis group codes entered against them.

The report is sequenced by supplier, and is printed in base currency.



Warning: This report is potentially very large, and the option should be used with care.



Select the payment analysis option Transaction Exceptions from the menu.

Fields:

Date Range

Enter the range of dates to be included in the report.

Supplier

Enter the supplier, or leave blank to produce a report of all suppliers.

Payables Company

If you want to restrict the report to a particular Accounts Payable company, enter that company here.



Press **Enter** to submit a job to produce the report.

Supplier Exceptions



34/GLN

This report will list all suppliers defined to the system as 1099 suppliers which have no reporting identification number (TIN or SSN).



Select the payment analysis Supplier Exceptions option from the menu.



Press **F8=Update** to confirm that the report is to be produced.

Generate 1099 Magnetic Tape



35/GLN

This option transfers the 1099 return on to magnetic tape.



Select the payment analysis option Generate 1099 Magnetic Tape from the menu.

Fields:

Tape Device Name

Enter the name of the tape device.

Density Of The Tape

Enter the tape density figure.



Press **Enter** to update.